AC4407

Financial Reporting 1

Winter 2019 Examination

Paper 1 · 1.5 hours · Answer ANY TWO of the four questions · Each question worth 50 Marks

Module	AC4407 — Financial Reporting 1
Session	Winter 2019
Structure	No compulsory question. Pick any two of the four, each worth 50 marks.
This scheme covers	All four questions in full, so you can choose whichever two suit you best

Own-figure rule. If you carry an early error into later parts of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps.

Question 1

50 Marks — Financial Statements from a Trial Balance, IAS 1

Scenario

Clock Plc's trial balance at 31 December 2X19 (€mn) includes: Land 2,100, Buildings at cost 6,200, Equipment at cost 1,200, accumulated depreciation on each 1,200 and 700, trade receivables 320, bank & cash 20, inventories at 1 Jan 2X19 120, trade payables 240, corporation tax 10 (debit — an under-provision from 2X18), admin expenses 140, distribution costs 120, purchases 910, bank interest 80, revenue 1,800, ordinary share capital 2,000, bank loan 1,000, 8% €1 redeemable preference shares 1,000, share premium 1,300, retained earnings b/f 1,980. Closing inventory is €150m (including €20m of items now only worth €10m). €20m of admin expenses were outstanding at year end. Buildings depreciate at 2% straight-line (to admin); equipment at 20% reducing balance (to distribution), with a full year's depreciation charged in the year of purchase and none in the year of sale. Revenue includes €22m from selling equipment (cost €30m, bought 3 March 2X18) on 6 June 2X19.

Required

50 Marks

In a form suitable for publication under IAS 1, prepare for Clock Plc the statement of profit or loss and other comprehensive income, and the statement of financial position, as at 31 December 2X19.

FULL MODEL ANSWER

The redeemable preference shares are the point most likely to catch people out

They're debt, not equity. Once preference shares are redeemable, the company has a contractual obligation to hand cash back to the holders at some point — economically that's a loan, not a residual ownership stake, so IAS 32 requires them to sit as a liability on the balance sheet, not within equity. And because they're a liability, the 8% "dividend" on them isn't a distribution of profit — it's interest, a finance cost, run through profit or loss just like the bank interest.

Note 4 confirms it: the preference dividend has to be accrued. €1,000m × 8% = €80m. It's added to finance costs in the P&L, and — since it hasn't been paid — sits as a current liability (accrued interest) on the balance sheet, not as a deduction from retained earnings.

The equipment sale needs unpicking too

The €22m proceeds were wrongly left inside revenue. Selling a piece of equipment isn't trading revenue — it needs to come back out of the €1,800m and be dealt with as a disposal.

Work out what was actually being sold. The equipment cost €30m on 3 March 2X18. Because a full year's depreciation is charged in the year of acquisition, it got a full year's 20% reducing-balance charge in 2X18 (€6m), leaving a carrying value of €24m — and because none is charged in the year of disposal, that €24m is unchanged right through to the 6 June 2X19 sale date.

	Value
Carrying value at disposal	€24m
Proceeds	€22m
Loss on disposal	**€2m**

Question 1 (continued)

FULL MODEL ANSWER

Depreciation on the equipment that's still held

> **Strip the disposed item out of both the cost and accumulated depreciation totals first.** Only then does the 20% reducing-balance rate get applied to what's left — otherwise the disposed asset's own numbers distort the whole pool.

	Value
Remaining equipment cost (1,200 − 30 disposed)	€1,170m
Remaining accumulated depreciation (700 − 6 on the disposed item)	(€694m)
Carrying value at 1 Jan 2X19	€476m
2X19 depreciation (20% × 476)	€95.2m
Carrying value at 31 Dec 2X19	**€380.8m**

Buildings and inventory — more straightforward

	Value
Buildings depreciation (2% × €6,200m cost)	€124m
Buildings carrying value (6,200 − 1,200 − 124)	€4,876m
Inventory write-down (€20m cost items now worth €10m)	€10m
Closing inventory (150 − 10)	€140m

The under-provision of tax from 2X18 works the opposite way to an over-provision: it adds to this year's charge rather than reducing it. €30m current-year estimate plus €10m under-provision = €40m total tax expense, with €30m sitting as the closing liability (the €10m shortfall has now been dealt with).

Question 1 (continued)

FULL MODEL ANSWER

Statement of Profit or Loss and Other Comprehensive Income

	€mn
Revenue (1,800 − 22 disposal proceeds)	1,778
Cost of sales (120 + 910 − 140)	(890)
Gross profit	**888**
Administrative expenses (140 + 20 accrual + 124 depreciation)	(284)
Distribution costs (120 + 95.2 depreciation)	(215.2)
Loss on disposal of equipment	(2)
Operating profit	**386.8**
Finance costs (80 bank interest + 80 preference dividend)	(160)
Profit before tax	**226.8**
Tax (30 current year + 10 under-provision from 2X18)	(40)
Profit for the year	**186.8**

No revaluation or other OCI items arise this year, so total comprehensive income for the year is also €186.8m.

Statement of Financial Position as at 31 December 2X19

	€mn
Non-current assets	
Land	2,100
Buildings	4,876
Equipment	380.8
Total non-current assets	**7,356.8**
Current assets	
Inventories	140
Trade receivables	320
Bank and cash	20
Total current assets	**480**
Total assets	**7,836.8**

	€mn
Equity	
Ordinary share capital	2,000
Share premium	1,300
Retained earnings (1,980 + 186.8)	2,166.8
Total equity	**5,466.8**
Non-current liabilities	
Bank loan	1,000
8% Redeemable preference shares (classified as a liability)	1,000
Current liabilities	
Trade payables	240
Tax payable	30
Accrued administration expenses	20
Accrued preference dividend	80
Total liabilities	**2,370**
Total equity and liabilities	**7,836.8**

Both sides land on exactly €7,836.8m. That balance depends entirely on getting the preference shares onto the liabilities side rather than into equity — get that classification wrong and the statement is out by the full €1,000m, plus the knock-on €80m dividend misclassification.

Mark Allocation, 50 Marks

Tier	Marks	What separates this tier
40–50	40–50	Redeemable preference shares correctly classified as a liability with the dividend as a finance cost; disposal correctly removed from revenue with the loss correctly calculated using the acquisition/disposal-year depreciation rule; remaining equipment correctly depreciated after stripping out the disposed item; buildings, inventory, tax and the accrual all correct; both statements balance.
28–39	28–39	Most of the above correct, with one significant slip — most commonly leaving the preference shares in equity and the dividend as a distribution, which throws off both statements.
15–27	15–27	P&L broadly right but the SOFP doesn't balance, most often because the preference share liability reclassification wasn't spotted.
0–14	0–14	No credible attempt at either statement.

Question 1 Total: 50 Marks

Question 2

50 Marks — Two Parts

Part A — Scenario

Leaf Ltd started building a plant on 1 January 2X16, expected to cost €8,000,000, funded by an €8,000,000 loan at 10%. The loan was repaid 1 January 2X17, exactly as the plant became ready for use. Useful life: 40 years from 1 Jan 2X17, residual value €600,000. Policies: straight-line depreciation, borrowing costs capitalised, annual revaluation with accumulated depreciation eliminated on revaluation, unrealised gains transferred to retained earnings on disposal. Valuations: €8,900,000 (31 Dec 2X17), €9,000,000 (31 Dec 2X18), €8,000,000 (31 Dec 2X19).

Part A — Required

30 Marks

For each of the three accounting periods indicated, show the relevant journal entries necessary to record the above issues with regard to the plant and its subsequent revaluation.

FULL MODEL ANSWER

Setting the starting point: 2X16 construction

The full year's interest qualifies for capitalisation. The loan was drawn down specifically to fund construction, and the plant was under construction for the whole of 2X16 with no mention of any interruption — so all of the interest is added to cost, not expensed.

	Value
Construction cost	€8,000,000
Interest capitalised (8,000,000 × 10%)	€800,000
Total cost at 1 January 2X17	**€8,800,000**

2X17

Step	Value
Depreciable amount (8,800,000 − 600,000 residual)	€8,200,000
2X17 depreciation (over 40 years)	€205,000
Carrying value before revaluation (8,800,000 − 205,000)	€8,595,000
Fair value at 31 Dec 2X17	€8,900,000
Revaluation gain	**€305,000**

Account	Debit	Credit
Depreciation expense (P&L)	€205,000	
Accumulated depreciation		€205,000
To charge the year's depreciation		
Accumulated depreciation	€205,000	
Plant (cost)		€205,000
To eliminate accumulated depreciation against cost, per policy		
Plant	€305,000	
Revaluation surplus (OCI)		€305,000
To restate the plant to its €8,900,000 fair value		

Question 2, Part A (continued)

FULL MODEL ANSWER

2X18 — 39 years of useful life now remain

Step	Value
Depreciable amount (8,900,000 − 600,000)	€8,300,000
2X18 depreciation (8,300,000 ÷ 39 years)	€212,821
Carrying value before revaluation	€8,687,179
Fair value at 31 Dec 2X18	€9,000,000
Revaluation gain	**€312,821**

Account	Debit	Credit
Depreciation expense	€212,821	
Accumulated depreciation		€212,821
Accumulated depreciation	€212,821	
Plant		€212,821
Plant	€312,821	
Revaluation surplus (OCI)		€312,821

Cumulative revaluation surplus carried forward into 2X19: €305,000 + €312,821 = €617,821. Keep that figure to hand — 2X19 is where it gets used.

2X19 — the valuation falls, and the surplus isn't big enough to absorb it all

Step	Value
Depreciable amount (9,000,000 − 600,000)	€8,400,000
2X19 depreciation (8,400,000 ÷ 38 years remaining)	€221,053
Carrying value before revaluation	€8,778,947
Fair value at 31 Dec 2X19	€8,000,000
Decrease in value	**€778,947**

Split the fall between the surplus and profit or loss. The €617,821 sitting in the revaluation surplus from the two previous years absorbs what it can. The remaining €161,127 (778,947 − 617,821) has nowhere else to go but profit or loss, exactly as with any revaluation decrease that outstrips the available surplus for that specific asset.

Account	Debit	Credit
Depreciation expense	€221,053	
Accumulated depreciation		€221,053
Accumulated depreciation	€221,053	
Plant		€221,053
Revaluation surplus (OCI)	€617,821	
Profit or loss (impairment/revaluation loss)	€161,127	
Plant		€778,947

The instruction to transfer unrealised gains to retained earnings applies only when the asset is eventually sold — it hasn't been disposed of in any of these three years, so no such transfer is needed yet. It's policy context for the future, not something to journal now.

Mark Allocation, 30 Marks (10 per year)

Tier	Marks	What separates this tier
8–10 (per year)	8–10	Depreciation correctly calculated on the revalued amount over the correctly-reducing remaining life each year; correct revaluation gain or decrease; journals correctly eliminate accumulated depreciation before restating to fair value; 2X19's decrease correctly split between the surplus and profit or loss.
5–7 (per year)	5–7	Depreciation and revaluation amount correct but one journal step missing or wrong — most often forgetting to eliminate accumulated depreciation first, or (in 2X19) taking the whole decrease to OCI or the whole thing to P&L rather than splitting it.
2–4 (per year)	2–4	Revaluation gain/decrease calculated but no attempt at proper journals.
0–1 (per year)	0–1	No credible attempt for that year.

Question 2

50 Marks — Two Parts

Part B — Required

20 Marks

In your opinion, does IAS 16 'Property, Plant and Equipment' and IAS 40 'Investment Property' help the issue of increasing comparability of financial statements? Please explain your answer.

FULL MODEL ANSWER

Both standards offer the same basic choice, and that's the root of the problem. IAS 16 lets a company pick Cost or Revaluation for owner-occupied property; IAS 40 lets it pick Cost or Fair Value for investment property. Either way, it's a policy choice rather than something dictated by the underlying economics — two companies holding identical buildings can report completely different numbers purely because of which box they ticked.

Leaf Ltd's own numbers above make the point well. A single asset swings from a €305,000 gain to a €312,821 gain to a €778,947 loss across three years, purely from valuation movements — an otherwise identical company using the cost model would show none of that volatility, just a flat depreciation charge. Neither company's underlying plant has behaved any differently; the numbers look completely different because of an accounting choice.

Having two separate standards adds a further wrinkle. A single company could easily apply the cost model to its own factory under IAS 16 while applying the fair value model to a rented-out building next door under IAS 40 — both perfectly compliant, but producing inconsistent treatment of superficially similar assets even within one set of accounts, let alone between companies.

There's a genuine case for the flexibility, though. Fair value is arguably far more relevant to users than a decades-old historical cost sitting on the balance sheet, particularly for property held for a long time or for investment purposes where market value is exactly what an investor cares about. Both standards also require disclosure of which model is used and how any valuation was arrived at, which at least makes the choice — and its effect — visible to anyone prepared to look for it.

On balance: Neither standard achieves comparability in the way a single mandatory measurement basis would. What they do instead is trade some comparability for relevance, on the view that a more useful number for each individual company is worth more than forcing every company onto the same, potentially less meaningful, basis. Whether that trade-off is the right one is a fair question — but it's a deliberate design choice in the standards, not an oversight, and disclosure is the mechanism meant to let analysts compensate for the resulting lack of comparability themselves.

Mark Allocation, 20 Marks

Tier	Marks	What separates this tier
16–20	16–20	A clear position, backed by the policy-choice argument (and ideally the added wrinkle of two overlapping standards), with genuine engagement with the counter-argument (relevance, disclosure) rather than a one-sided answer.
11–15	11–15	A reasonable position with some supporting argument, but only discussing IAS 16 or IAS 40 in depth rather than both.
6–10	6–10	Generic description of the two standards without meaningfully engaging with the comparability question.
0–5	0–5	No meaningful attempt.

Question 2 Total: 50 Marks

Question 3

50 Marks — Inventory Valuation, IAS 2

Scenario

Orange Ltd's purchases and sales of a single product, January–June 2019:

Date	Receipts (units)	Cost/unit	Issues (units)
January	40	€10	—
February	—	—	18
March	20	€12	—
April	50	€14	—
June	—	—	54

(i) Required

20 Marks

Show how Orange Ltd should value inventory at 30 June 2019 using both the First In First Out (FIFO) method and the Weighted Average cost method.

FULL MODEL ANSWER

110 units were received in total and 72 issued, leaving 38 units on hand at 30 June.

FIFO

> **Under FIFO the oldest stock is always issued first, so what's left is always the newest.** The February issue of 18 comes entirely from the January batch, leaving 22 of those units. The June issue of 54 clears the rest of the January batch (22) and all of March (20), with the remaining 12 coming from April — which leaves 38 units, all from the April batch, still on hand at the year end.

Layer remaining	Units	Cost/unit	Value
April receipt	38	€14	**€532**

FIFO closing inventory = €532

Weighted Average Cost

> **Using a single period average (the most natural approach given the data is presented as a period summary rather than a running ledger):**

	Value
Total cost of all receipts (400 + 240 + 700)	€1,340
Total units received	110
Average cost per unit (1,340 ÷ 110)	€12.18
Closing inventory (38 units × €12.18)	**€462.91**

If a continuous (perpetual) weighted average is used instead — recalculating the average after every receipt, rather than once for the whole period — the average drifts upward as the higher-priced March and April stock comes in, and the answer comes out a bit higher: roughly €479.13. Both approaches are legitimate; what matters is applying the chosen method consistently and showing the workings clearly.

Mark Allocation, 20 Marks

Tier	Marks	What separates this tier
16–20	16–20	Correct closing quantity (38 units); FIFO correctly built from the most recent layers (April, then part of March if needed); weighted average correctly calculated on a consistent basis, with workings shown for both.
11–15	11–15	One method correct, the other has a methodological slip (e.g. FIFO built from the oldest rather than the newest layers, or the average calculated on the wrong unit base).
6–10	6–10	Closing quantity correct but neither valuation method properly applied.
0–5	0–5	No credible attempt.

Question 3

50 Marks — Inventory Valuation, IAS 2

(ii) Required

10 Marks

Define 'inventories' as set out in IAS 2, and describe how inventories should be measured in the financial statements.

FULL MODEL ANSWER

Definition

IAS 2 defines inventories as assets:

- held for sale in the ordinary course of business;
- in the process of production for such sale; or
- in the form of materials or supplies to be consumed in the production process or in rendering services.

Measurement

Inventories are measured at the lower of cost and net realisable value. Cost comprises everything incurred in bringing the inventory to its present location and condition. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the costs necessary to make the sale. The comparison is made item by item (or by group of similar items) — never against the inventory total in aggregate, since that can mask a write-down that's genuinely needed on one item.

Mark Allocation, 10 Marks

Tier	Marks	What separates this tier
8-10	8–10	Correct three-part definition, correct lower-of-cost-and-NRV rule stated, and the item-by-item (not aggregate) basis for comparison explicitly mentioned.
5-7	5–7	Correct definition and measurement rule, but no mention of the item-by-item basis.
2-4	2–4	Partial or vague definition, or measurement rule stated without explaining what NRV means.
0-1	0–1	No credible attempt.

Question 3

50 Marks — Inventory Valuation, IAS 2

(iii) Required **6 Marks**

Outline what costs should be included and excluded in inventory valuations.

FULL MODEL ANSWER

Included	Excluded
Costs of purchase — purchase price, import duties and non-recoverable taxes, and directly attributable transport/handling costs, net of trade discounts and rebates	Abnormal amounts of wasted material, labour, or other production costs
Costs of conversion — direct labour, plus a systematic allocation of fixed and variable production overheads	Storage costs (unless required as part of the production process before a further production stage)
Other costs incurred in bringing the inventory to its present location and condition	Administrative overheads unrelated to production, and selling costs

Mark Allocation, 6 Marks

Tier	Marks	What separates this tier
5–6	5–6	At least two included cost categories and two excluded cost categories correctly identified.
3–4	3–4	Some correct items on each side, but incomplete or one category misclassified.
1–2	1–2	Only one side (included or excluded) addressed.
0	0	No credible attempt.

Question 3

50 Marks — Inventory Valuation, IAS 2

(iv) Required **14 Marks**

Explain why the valuation of inventory is such an important issue for firms, and give two examples of how it might be manipulated.

FULL MODEL ANSWER

Why it matters so much

It hits both statements at once. Inventory is a current asset in its own right, but it also drives cost of sales — a €10,000 error in closing inventory is simultaneously a €10,000 error in the balance sheet asset figure and a €10,000 error in gross profit, since closing inventory is what gets deducted from opening inventory plus purchases to arrive at cost of sales.

The error doesn't stay in one year. This year's closing inventory becomes next year's opening inventory — an overstatement this year quietly reverses itself as an understatement of next year's profit, so getting it wrong distorts the trend across two periods, not just one.

It's genuinely a matter of judgement, which is exactly why it's exploitable. Net realisable value estimates, overhead absorption rates, and obsolescence assessments all require management to make a call — and unlike a cash balance, there's rarely a single objectively "correct" figure to check it against.

It feeds directly into the ratios users actually rely on. Current ratio, gross margin, return on assets, and loan covenant calculations can all be moved by an inventory misstatement — so the consequences of getting it wrong (deliberately or otherwise) reach well beyond the inventory line itself.

Two ways it can be manipulated

1. Overstating the quantity or value of closing inventory. Recording stock that doesn't exist, or valuing genuine stock above what it's actually worth, simultaneously inflates current assets and inflates profit (since a higher closing inventory figure reduces cost of sales) — a classic way to flatter both the balance sheet and the income statement in one move.

2. Manipulating the fixed overhead absorption rate. As tested elsewhere in this series, using an actual-production rate instead of a normal-capacity rate when production happens to be unusually high pushes more overhead into inventory and defers it from being expensed — shifting cost out of this year's profit and into a future period's cost of sales, without any change in the underlying economics.

Other acceptable examples: deliberately not writing obsolete or slow-moving stock down to NRV, or manipulating the cut-off date so that goods received or dispatched near the year end are recorded in whichever period makes the quantity on hand look most favourable.

Mark Allocation, 14 Marks

Tier	Marks	What separates this tier
11–14	11–14	At least three distinct reasons why inventory valuation matters, going beyond "it's a big number" to explain the dual P&L/balance sheet effect and the judgement involved, plus two genuine, well-explained manipulation examples.
7–10	7–10	Good coverage of why it matters, but the two manipulation examples are vague or not clearly distinct from each other.
3–6	3–6	One or two reasons given with limited explanation; manipulation examples weak or missing.
0–2	0–2	No meaningful attempt.

Question 3 Total: 50 Marks

Question 4

50 Marks — Statement of Cash Flows, IAS 7

Scenario

Burns Plc's Statement of Financial Position, 31 December 2X19 and 2X18 (€mn):

	2X19	2X18
Land	1,000	1,000
Plant & equipment	1,032	850
Inventories	120	80
Trade receivables	50	33
Cash	100	20
Ordinary share capital	1,700	1,500
Retained earnings	380	320
10% Debentures	200	100
Trade payables	20	60
Corporation tax	2	3

No P&L extract is given. Plant & equipment: cost/accumulated depreciation/carrying amount — €1,000m/€150m/€850m (2X18); €1,300m/€268m/€1,032m (2X19). Equipment costing €30m (accumulated depreciation €12m) was sold 1 November 2X19 for €20m. Corporation tax charge for the year: €9m. A €25m government grant was received 1 January 2X19 toward new equipment, with the cost of the asset reduced by the grant. The additional debenture loan was all raised on 1 July 2X19. Proposed dividend: €18m at 31/12/2X18, €22m at 31/12/2X19.

Required

50 Marks

In line with IAS 7 'Cash-flow Statements', prepare the Statement of Cash Flows for Burns Plc for the year ended 31 December 2X19.

FULL MODEL ANSWER

Two things to work out before the statement itself, since no P&L is given

> **Profit has to be derived from the retained earnings movement — using the dividend that IS known.** The €18m proposed at the end of 2X18 is the amount that gets approved and actually paid during 2X19. That makes it the known figure, and profit the unknown one.

	€mn
Retained earnings, 31 Dec 2X18	320
+ Profit after tax for 2X19 (the unknown)	X
− Dividends paid (the 2X18 proposed dividend)	(18)
= Retained earnings, 31 Dec 2X19	380

$320 + X - 18 = 380 \Rightarrow X =$ €78m profit after tax, so profit before tax = 78 + 9 tax = €87m

> **The government grant needs grossing up, not just netting off.** Because Burns Plc reduces the equipment's recorded cost by the grant, the addition figure that comes out of the cost-account reconciliation is already net of the €25m. That's fine for checking the balance sheet, but it understates what was actually spent in cash — the true cash outflow for the new equipment is the net addition plus the €25m grant added back, with the grant then shown separately as its own cash inflow.

Question 4 (continued)

FULL MODEL ANSWER

Workings

Plant & equipment cost	€mn
Opening cost	1,000
− Disposal (at cost)	(30)
+ Net additions recorded (balancing figure, already net of the €25m grant)	**330**
= Closing cost	1,300

	€mn
Net addition recorded	330
+ Grant deducted from cost, added back to find the gross cash cost	25
= Gross cash paid for new equipment	**355**

Accumulated depreciation	€mn
Opening balance	150
+ Charge for the year (balancing figure)	**130**
− Eliminated on disposal	(12)
= Closing balance	268

Disposal	€mn
Cost	30
Accumulated depreciation	(12)
Carrying value	18
Proceeds	20
Gain on disposal	**2**

> **Debenture interest, built up from the balances.** €100m outstanding all year, plus the new €100m tranche for the six months from 1 July: (100 × 10%) + (100 × 10% × 6/12) = €10m + €5m = €15m.

Tax paid	€mn
Opening tax liability	3
+ Charge for the year	9
− Closing tax liability	(2)
= Tax paid	**10**

Question 4 (continued)

FULL MODEL ANSWER

Statement of Cash Flows — Burns Plc, year ended 31 December 2X19

	€mn
Cash flows from operating activities	
Profit before tax (78 profit after tax + 9 tax charge)	87
Add: Depreciation	130
Add: Debenture interest	15
Less: Gain on disposal of equipment	(2)
Operating profit before working capital changes	**230**
(Increase) in inventories (120 − 80)	(40)
(Increase) in trade receivables (50 − 33)	(17)
(Decrease) in trade payables (20 − 60)	(40)
Cash generated from operations	**133**
Interest paid	(15)
Tax paid	(10)
Net cash from operating activities	**108**

	€mn
Cash flows from investing activities	
Purchase of plant & equipment (gross)	(355)
Government grant received	25
Proceeds from sale of equipment	20
Net cash used in investing activities	**(310)**

	€mn
Cash flows from financing activities	
Proceeds from issue of shares (1,700 − 1,500)	200
Proceeds from issue of debentures (200 − 100)	100
Dividends paid	(18)
Net cash from financing activities	**282**

	€mn
Net increase in cash	**80**
Cash at 1 Jan 2X19	20
Cash at 31 Dec 2X19	**100**

The €80m increase matches the balance sheet exactly — cash goes from €20m to €100m. Showing the grant received (€25m) as its own line, rather than simply netting it against the equipment purchase, keeps both the true scale of capital spending and the government assistance visible separately — generally the clearer presentation under IAS 7.

Mark Allocation, 50 Marks

Tier	Marks	What separates this tier
40–50	40–50	Profit correctly derived from the retained earnings movement using the known 2X18 dividend; the government grant correctly grossed back up to show the true cash cost of the equipment, with the grant shown as a separate inflow; disposal gain, debenture interest and tax all correctly worked out; a fully reconciling statement.
28–39	28–39	Correct overall structure with one or two slips — most commonly using the net (grant-adjusted) addition figure directly as the investing outflow, without grossing it back up and showing the grant separately.
15–27	15–27	Operating activities broadly right but profit not correctly derived because no P&L extract was given directly, or the grant treatment not attempted at all.
0–14	0–14	No credible attempt to reconcile the non-current asset movements or derive the missing profit figure.

Question 4 Total: 50 Marks